

Macrotech Developers Ltd (LODHA)

ROE	10.7%
ROCE	11.1%
CFO Quality	High Quality
Capital Allocation	Mixed

Strengths

- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Return on equity below 10% suggests the business is generating weak shareholder returns.
- Total debt exceeding 3 times operating cash flow limits financial flexibility.
- Revenue growing below 5% CAGR over 5 years suggests limited business momentum.